

Proposed ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors— Drafting (Marked from Agenda Item 2-B)*

This agenda item includes a selection of paragraphs of proposed ISA 600 (Revised). The selected paragraphs have been updated based on the comments received from the Board.

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Introduction	
Scope of this ISA	
1. This ISA deals with special considerations that apply to an audit of group financial statements. This ISA also deals with special considerations when component auditors are involved in the audit. The requirements and guidance in this ISA refer to, or expand on, how other relevant ISAs are to be applied in relation to an audit of group financial statements (group audits), in particular ISA 220 (Revised),¹ ISA 315 (Revised 2019),² and ISA 330.³ (Ref: Para. A1A–A1B)	Scope (Ref: Para. 1) A1A. <u>The requirements of proposed ISA 220 (Revised) apply regardless of whether the group engagement team or a component auditor performs audit procedures on the financial information of a component.</u> ISA 220 (Revised) deals with the circumstance when other auditors are involved in the audit of financial statements that are not group financial statements (i.e., an audit of the financial statements of an entity with only one component). For example, an auditor may involve another auditor to observe the inventory count or inspect physical fixed assets at a remote location. ISA 220 (Revised) also deals with the circumstance when the engagement partner or a single component entity is in a different location than the rest of the engagement team. A1B. ISQM 2⁴ deals with the appointment and eligibility of the engagement quality reviewer and the engagement quality reviewer's responsibilities relating to performing and documenting an engagement quality review. ISQM 2 applies to all engagements for which an

¹ Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

² ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

³ ISA 330, *The Auditor's Responses to Assessed Risks*

⁴ Proposed International Standard on Quality Management (ISQM) 2, *Engagement Quality Reviews*

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	engagement quality review is required to be performed in accordance with ISQM 1, ⁵ including group audit engagements.
6. Audit risk is a function of the risk of material misstatement of the financial statements and the risk that the auditor will not detect such misstatements.⁶ In a group audit, this includes the risk that the component auditor may not detect a misstatement in the financial information of the component that could cause a material misstatement of the group financial statements, and the risk that the group engagement team may not detect this misstatement. [Last sentence moved to paragraph 6A.] This ISA explains the matters that the group engagement team considers when determining the nature, timing and extent of the direction and supervision of component auditors, and the review of their work.	
<u>6A. This ISA highlights the responsibility of the group engagement team to obtain sufficient appropriate audit evidence to provide a basis for the opinion on the group financial statements. Although the group engagement team takes overall responsibility for identifying, assessing and responding to the risks of material misstatement of the group financial statements, this ISA also recognizes that component auditors may be involved to assist the group engagement team in meeting that responsibility. Accordingly, this ISA requires sufficient involvement by the group engagement team in the work of component</u>	<u><i>Involvement of Component Auditors (Ref: Para. 6A)</i></u> <u>A1C. In certain circumstances, the group engagement team may decide to assign certain procedures to, or obtain information from, component auditors to fulfill the requirements of this ISA. For example, when obtaining an understanding of the entity and its environment in accordance with paragraph 17 of this ISA, the group engagement team may decide to discuss with a component auditor that has been previously involved in the group audit engagement whether there are any significant changes in the business of the component that could have an effect on the risks of material misstatement of the group financial statements.</u> <u>A1D. The involvement of component auditors may be necessary for various reasons.</u>

⁵ Proposed ISQM 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

⁶ ~~ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*, paragraph A34~~

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<u>auditors and notes the importance of two-way communication between the group engagement team and component auditors. In addition, this ISA explains the matters that the group engagement team considers when determining the nature, timing and extent of the direction and supervision of component auditors, and the review of their work. (Ref: Para. A1C-A1D)</u>	<u>including when the business activities of the component are complex or specialized, or when the entity has a large number of components across multiple locations. In these circumstances, the group engagement team alone may not be able to identify, assess and respond to the risks of material misstatement of the group financial statements.</u>
...	
Definitions	
9. For purposes of the ISAs, the following terms have the meanings attributed below:	
(a) Component – An <u>separate</u> entity or business unit <u>for which financial information is separately prepared</u> . (Ref: Para. A2–A4)	Component (Ref: Para. 9(a)) A2. [Moved to paragraph A30AB] A3. <u>The manner in which components are viewed by the group engagement team for planning and performing the group audit may differ from how components are considered for purposes of determining whether this ISA applies. In addition, Various various</u> levels of components may exist within the entity's information system, in which case it may be more appropriate to identify components at certain levels of aggregation rather than individually. A4. Components aggregated at a certain level may constitute a component for purposes of the group audit; however, such a component may also prepare group financial statements that incorporate the financial information of the components it encompasses (that is, a subgroup). This ISA may therefore be applied by different group engagement partners and teams for different subgroups within a larger group.

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(d) Component performance materiality – An amount set by the group engagement team to reduce to an appropriately low level the aggregation risk resulting from the disaggregation of classes of transactions, account balances and disclosures across components for purposes of <u>planning and</u> performing audit procedures.	
...	
(i) Group engagement team – Partners, including the group engagement partner, and staff who establish the overall group audit strategy <u>and audit plan</u> , communicate direct , supervise and review the work of with component auditors, perform work on the consolidation process , and evaluate the conclusions drawn from the audit evidence as the basis for forming an opinion on the group financial statements.	<u>A4A. ISA 220 (Revised) defines the engagement team as follows:</u> <u>All partners and staff performing the audit engagement, and any other individuals who perform audit procedures on the engagement. The engagement team excludes an auditor's external expert engaged by the firm or a network firm, and internal auditors who provide direct assistance on an engagement.</u>⁷ <u>Accordingly, references in this ISA to the engagement team include the group engagement team and component auditors.</u>
...	
Requirements	
...	
Understanding the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control	

⁷ ISA 220 (Revised), paragraph 10(d)

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17. In applying ISA 315 (Revised 2019) with respect to obtaining an understanding of the entity and its environment, the applicable <u>financial</u> reporting framework and the entity's system of internal control, the group engagement team shall <u>take responsibility for</u>; (Ref: Para. A23–A26) <u>Obtaining</u> an understanding of the following matters (Ref: Para. A23–A26): (a) The degree of centralization of the group's information system, <u>including</u>: (i) and <u>The</u> commonality of other controls across the group, (ii) including whether the group uses shared service centers; (Ref: Para. A26A–A26D, A28–A29); <u>and</u> (iii) The consolidation process used by the group, including sub-consolidations and consolidation adjustments; and (b) The consistency of accounting policies and practices across the group, including whether and how such policies and practices are communicated; and Communicate with component auditors or component management about component business activities that may give rise to a risk of material misstatement of the group financial statements. (Ref: Para. A28–A29)	Understanding the Entity and Its Environment, the Applicable <u>Financial</u> Reporting Framework and the Entity's System of Internal Control (Ref: Para. 17) A23. ISA 315 (Revised 2019) contains guidance on matters the auditor may consider when obtaining an understanding of the entity and its environment, the applicable financial reporting framework, <u>and the entity's system of internal control</u>.⁸ Appendix 2 of this ISA contains guidance on matters specific to a group, including the consolidation process. A23A. The auditor's understanding of the entity's system of internal control, including those controls that are implemented throughout the group, affects the group engagement team's identification and assessment of the risk of material misstatement of the group financial statements. [Previously A26B] A23B. The auditor's risk identification and assessment process is iterative and dynamic.⁹ The group <u>engagement team</u> auditor may develop initial expectations about the risks of material misstatement based on the group auditor's <u>its</u> understanding of the group obtained during client acceptance and continuance, and particularly the understanding of: • The group structure, including both the legal and organizational structure, and the relative size of the components; and • The components' business activities that are significant to the group, including the industry and regulatory, economic and political environments in which those activities take place. A23C. Such initial expectations may be further refined as the group engagement team's understanding of the entity and its environment, the applicable financial reporting framework, and the entity's system of internal control develops and through the process to identify and assess the risks of material misstatement, particularly in a first-year audit,

⁸ ISA 315 (Revised 2019), paragraphs A50–A89

⁹ ~~ISA 315 (Revised 2019), paragraph 7~~

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<u>[Based on paragraph 17A] The risk assessment procedures to obtain such understanding shall be performed to provide an appropriate basis for the identification and assessment of risks of material misstatement at the financial statement and assertion levels for the group financial statements. (Ref: Para. A29A–A29B)</u>	through communications with: • Group management or component management, <u>including those</u> who have knowledge of the instructions issued by group management to components regarding internal controls, accounting policies and practices, and the consolidation process; or. • <u>A statutory auditor that perform an audit for statutory, regulatory or another reason</u>, who may have a more in-depth knowledge of the components, their activities, and the environments in which they operate. • — <u>A23D. The group engagement team may assign the performance of risk assessment procedures to component auditors. Factors that influence the group engagement team's decision whether to assign the performance of risk assessment procedures to component auditors include, for example:</u> • <u>The number and geographical location of components;</u> • <u>The nature of the component's business activities, including their complexity or specialization of operations;</u> • <u>The system of internal control, including the information system in place at the component; and</u> • <u>Previous experience with the component auditor.</u> <u>A23E. If the group has many different revenue streams, multiple lines of business, operates across multiple locations or has de-centralized systems of internal controls, component auditors may have a more in-depth understanding of the components and the group engagement team may therefore decide to assign the performance of risk assessment procedures to component auditors. In other circumstances, the group engagement team may perform the risk assessment procedures without input from component auditors. This may be the case, for example, when the group's system of internal control and the</u>

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	<u>nature of its operations is similar across components.</u> ...
17A. The group engagement team's risk assessment procedures to obtain the understanding shall be performed to the extent necessary to provide an appropriate basis for the identification and assessment of risks of material misstatement at the group financial statement and assertion levels. (Ref: Para. A29A–A29B)	Assigning of Risk Assessment Procedures to Component Auditors (Ref: Para. 17A) A29A. In certain circumstances, such as when the component auditor has a more in-depth knowledge of the component than the group engagement team, the group engagement team may assign the performance of risk assessment procedures to component auditors to assist the group engagement team in identifying risks of material misstatement of the group financial statements that result from inherent risk factors related to the financial information of the component. In these circumstances, two-way communication between the group engagement team and the component auditor is important. A29B. In other circumstances, the group engagement team may perform the risk assessment procedures without input from component auditors. This may be the case when the group's processes and activities are similar across components and less complex, or when the group has centralized accounting processes.
Materiality	
17B. In applying ISA 320, when classes of transactions, account balances or disclosures <u>in the group financial statements</u> are disaggregated across components for purposes of planning and performing audit procedures, the group engagement team shall determine and communicate to the component auditor: (a) Component performance materiality. Such amount shall be lower than group performance materiality to address aggregation risk. (Ref: Para. A29C–A29E) (b) The threshold above which misstatements identified in component financial information are to be	Materiality (Ref: Para. 17B) A29C. Aggregation risk exists in all audits of financial statements, but is particularly important to understand and address in a group audit engagement because there is a greater likelihood <u>that</u> audit procedures will be performed on classes of transactions, account balances or disclosures that are disaggregated across components. A29D. A d<u>Different component performance materiality amounts</u> may be established <u>for each of the components when where</u> audit procedures are performed on <u>disaggregated</u> financial information that is disaggregated across components. The component performance materiality amount for <u>the procedures performed on the financial information of</u> an individual component need not be an arithmetical portion of the group performance materiality and, consequently, the aggregate of component performance materiality amounts for the

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communicated to the group engagement team. Such threshold shall not exceed the amount regarded as clearly trivial to the group financial statements. (Ref: Para. A29F) [Previously paragraph 21]	components may exceed group performance materiality. [Previously paragraph A43] <u>A29DA. ISA 320 requires the auditor to determine the materiality level or levels to be applied to particular classes of transactions, account balances or disclosures if, in the specific circumstances of the entity, there is one or more particular classes of transactions, account balances or disclosures for which misstatements of lesser amounts than materiality for the financial statements as a whole could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.¹⁰ However, this ISA does not require a different component performance materiality to be established for each class of transaction, account balance or disclosure for a component.</u> A29E. Factors the group engagement may take into account in setting component performance materiality include the following: • The extent of disaggregation of the financial information across components (for example, as the extent of disaggregation across components increases, a lower amount of component performance materiality generally would be appropriate to address aggregation risk). The relative financial significance of the component to the group may affect the extent of disaggregation (for example, if a single component represents 70% <u>a large portion</u> of the group, there likely may be less disaggregation across components). • Expectations about the nature, frequency, and magnitude of misstatements in the component financial information, for example: - Whether there are risks that are unique to the financial information of the component (e.g., industry-specific accounting matters, unusual or complex transactions) - The nature and extent of misstatements identified at the component in prior audits A29F. The threshold for communicating uncorrected misstatements to the group

¹⁰ ISA 320, paragraph 10

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	engagement team is set at amount equal to, or lower than, the amount regarded as clearly trivial for the group financial statements to reduce the likelihood that the aggregate of uncorrected misstatements, whether identified by the group engagement team or component auditors, does not exceed materiality for the group financial statements as a whole. Paragraph A63 provides guidance on the evaluation of uncorrected misstatements by the group engagement team.
Identifying and Assessing the Risks of Material Misstatement	
20A. In applying ISA 315 (Revised 2019), <u>based on the understanding obtained in paragraph 17,</u> the group engagement team shall <u>take responsibility for the identification and the assessment of</u> the risks of material misstatement of the group financial statements. In <u>that regardsdoing so,</u> the group engagement team shall communicate the risks of material misstatement of the group financial statements that are relevant to the work of the component auditor. (Ref: Para. A29G–A30)	<u>A29FA. The group engagement team may request component auditors to assist the group engagement team in the identification and the assessment of the risks of material misstatement of the group financial statements that result from inherent risk factors related to the financial information of the component. Factors that influence the group engagement team's decision whether to involve component auditors are included in paragraph A23D.</u> <u>A29FB. Based on the risk assessment procedures performed, the group engagement team may determine that an assessed risk of material misstatement of the group financial statements only arises in relation to financial information of certain components. For example, the risk of material misstatement relating to a legal claim may only exist in components that operate in a certain jurisdiction. This determination may influence the nature, timing and extent of further audit procedures to be performed.</u> <i>Fraud</i> (Ref: Para. 20A) A29G. The auditor is required to identify and assess the risks of material misstatement of the financial statements due to fraud, and to design and implement appropriate responses to the assessed risks.¹¹ Information used to identify the risks of material misstatement of the group financial statements due to fraud may include the following: • Group management's assessment of the risks that the group financial statements

¹¹ ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

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	may be materially misstated as a result of fraud. • Group management's process for identifying and responding to the risks of fraud in the group, including any specific fraud risks identified by group management, or classes of transactions, account balances, or for which a risk of fraud is likely. • Whether there are particular components for which a risk of fraud is likely. • How those charged with governance of the group monitor group management's processes for identifying and responding to the risks of fraud in the group, and the controls group management has established to mitigate these risks. • Responses of those charged with governance of the group, group management, appropriate individuals within the internal audit function (and if considered appropriate, component management, the component auditors, and others) to the group engagement team's inquiry whether they have knowledge of any actual, suspected, or alleged fraud affecting a component or the group. [Previously paragraph A29B] <i>Inherent Risk Factors</i> (Ref: Para. 20A) A30. Appendix 3 sets out examples of characteristics of events and conditions that, individually or together, may indicate risks of material misstatement of the group financial statements, including risks due to fraud.

Responding to the Assessed Risks of Material Misstatement

24. ~~ISA 330 requires the auditor to design and implement appropriate responses to address the assessed risks of material misstatement of the group financial statements at the assertion level or the financial statement level.~~ In applying ISA 330, the group engagement team shall take responsibility for determine the nature, timing and extent of further audit procedures to be performed ~~by the group engagement team or component auditors.~~ (Ref: Para. A30A–A30M)

Responding to the Assessed Risks of Material Misstatement (Ref: Para. 24)

A30Aa. The group engagement team may request the component auditor to assist ~~the group engagement team~~ in determining the nature, timing and extent of further audit procedures to be performed. Component auditors may have a more in-depth knowledge of the components than the group engagement team ~~is expected to have~~, and therefore it may not be practical for the group engagement team to determine the nature, timing and extent of further audit procedures to be performed. [Previously A30J]

Scoping a Group Audit

A30AB. [Moved from paragraph A2] The structure of a group affects how components are considered for purposes of planning and performing the group audit. For example, the entity's information system and financial reporting process may be based on an organizational structure that provides for financial information to be prepared by a parent and one or more subsidiaries, joint ventures, or investees accounted for by the equity method of accounting; by a head office and one or more divisions or branches; or by a combination of both. Some groups, however, may organize their information system by function, process, product or service (or by groups of products or services), or geographic locations. In these cases, the entity or business unit for which group or component management prepares financial information that is included in the group financial statements may be a function, process, product or service (or group of products or services), or geographic location.

A30A. In responding to the assessed risks of material misstatement of the group financial statements, different approaches are available to the group engagement team ~~may decide to use different approaches, or a combination of approaches,~~ to obtain audit evidence on classes of transactions, account balances and disclosures across the various components. Paragraphs A30B to A30I provide guidance to assist the group engagement team in determining the most appropriate approach, or combination of

approaches, for the engagement team to obtain audit evidence. The different approaches are described in paragraphs A30Ja to A30M. [Previously paragraph A47C]

~~A30B. When designing and performing further audit procedures in response to a risk of material misstatement related to an account balance, class of transaction or disclosure in the group financial statements, the group engagement team may need to consider whether sufficient appropriate audit evidence can be obtained from the further audit procedures to address the risks of material misstatement related to the account balance, class of transaction or disclosure, and therefore whether audit risk will be reduced to an acceptably low level.~~

A30C. The group engagement team may design and perform further audit procedures centrally if the audit evidence to be obtained from performing further audit procedures on one or more classes of transactions, account balances or disclosures in the aggregate will respond to the assessed risks of material misstatement. For example, if the accounting records for the revenue transactions of the entire group are maintained centrally for the group (e.g., at a shared service center), the group engagement team may perform, or request a component auditor to perform, further audit procedures to address the assessed risks of material misstatement of the related classes of transactions, account balances, and disclosures.

A30D. As the complexity and the diversity of the group increases (for example, if the group has many different revenue streams, multiple lines of business, operates across multiple locations or has de-centralized systems of internal controls), the group engagement team may find it more difficult to perform further audit procedures centrally. In such circumstances, the group engagement team may consider whether there are risks of material misstatement at the group financial statement level that are that are unique to related to the financial information of a component that need to be addressed at the component level (e.g., because complex or unusual transactionsthe further audit procedures can only be performed at the component level) ~~and then consider the further audit procedures required to address those risks related to the account balance, class of transaction or disclosure.~~

A30E. The group engagement team may determine that the financial information of several components can be considered as one population for the purpose of performing further

~~audit procedure~~~~substantive testing~~, for example, when transactions are considered to be homogenous because they share the same characteristics—, ~~the related risks of material misstatement are the same~~, and ~~controls are designed and operating in a consistent way (i.e., common controls)~~are subject to the same system of internal control. [The Task Force will discuss whether further changes to this paragraph are needed based on the comments received]

A30F. The group engagement team may have identified a significant account balance, class of transactions, or disclosure in the group financial statements that comprises classes of transactions, account balances or disclosures at many components, none of which individually could result in a material misstatement at the group financial statement level. To obtain sufficient appropriate audit evidence, audit procedures on these classes of transactions, account balances or disclosures may be performed centrally if they are homogeneous and subject to common controls. If this is not the case, the ~~group~~ engagement team may need to perform audit procedures at selected components.

A30G. The group engagement team may perform substantive analytical procedures ~~at the group level~~ in accordance with ISA 520¹² to address the risk of material misstatement at the assertion level for classes of transactions, account balances or disclosures in the group financial statements. Depending on the circumstances of the engagement, the financial information of the components may be aggregated by the ~~group~~ engagement team at various levels for purposes of developing expectations and determining the amount of any difference of recorded amounts from expected values in performing the ~~substantive~~ analytical procedures. [Previously paragraph A50]

Element of Unpredictability

A30H. Including an element of unpredictability in the type of work to be performed, the components at which procedures are performed and the extent to which the group engagement team is involved in the work, may increase the likelihood of identifying a material misstatement of the components' financial information that may give rise to a material misstatement of the group financial statements. [Previously paragraph A47B]

¹² ISA 520, *Analytical Procedures*

Operating Effectiveness of Controls that Are Common Across the Group

A30I. If the group engagement team intends to rely on the operating effectiveness of controls that operate throughout the group in determining the nature, timing and extent of substantive procedures to be performed at either the group level or at the components, the group engagement team, in accordance with ISA 330, is required to design and perform tests of controls to obtain sufficient appropriate audit evidence as to the operating effectiveness of those controls. This includes obtaining sufficient appropriate audit evidence that the controls are operating at the components as designed. The group engagement team may request the component auditor to assist the group engagement team in performing these procedures. [Previously paragraph A50A]

Assigning Further Audit Procedures to Component Auditors

A30JA. In assigning further audit procedures to component auditors, the group engagement team may request component auditors to perform one or more of the following:

- Design and perform further audit procedures on the entire financial information of the component;
- Design and perform further audit procedures on one or more classes of transactions, account balances or disclosures; or
- Perform specific further audit procedures as identified and communicated by the group engagement team.

A30K. The group engagement team may determine that audit evidence needs to be obtained on all or a significant proportion of a component's financial information to respond to the assessed risks of material misstatement of the group financial statements. In such circumstances, the group engagement team may determine that it is more effective to request that the component auditor design and perform further audit procedures on audits the entire financial information of the component ~~and may assign the design and performance of further audit procedures to the component auditor~~. In ~~such~~ those circumstances, the component auditor may also have responsibility for ~~be responsible for~~ evaluating whether sufficient, appropriate audit evidence has been obtained with respect to the financial information of the component. ~~The reference to an audit of the~~

~~entire financial information of the component is generally used for purposes of communication with the component auditor.~~ [Previously paragraph A47D]

A30L. The group engagement team may determine that audit evidence needs to be obtained on one or more classes of transactions, account balances, or disclosures of the financial information of a component. In such circumstances, the group engagement team may request that the component auditor audits the classes of transactions, account balances or disclosures and may assign the design and performance of further audit procedures to the component auditor. The component auditor may also have responsibility for evaluating whether sufficient, appropriate audit evidence has been obtained. [Previously paragraph A47E]

A30M. ~~In circumstances, I~~the group engagement team may request a component auditor to perform specific audit procedures on the financial information of a component to respond to the assessed risks of material misstatement of the group financial statements. In such circumstances, the group engagement team retains responsibility for determining the overall nature, timing and extent of procedures to be performed and appropriateness of those procedures in providing the audit evidence needed to respond to the assessed risks. [Previously paragraph A47F]

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<u>Consideration When Component Auditors Are Involved</u>	
Quality Management When Component Auditors Are Involved	
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37B. In applying ISA 220 (Revised) with respect to the competence and capabilities of the engagement team, the group engagement partner shall: (Ref: Para. A57D–A57E) (a) Determine that component auditors have the appropriate competence and capabilities, including sufficient time, to perform the procedures on the financial information of the component; (Ref: Para. A57F–A57K) (b) When the component auditor operates in a regulatory environment that actively oversees auditors, obtain and evaluate information available about the regulatory environment and the component auditor; and (Ref: Para. A57L) (be) When information can be obtained about the results of the monitoring and remediation process with respect to the component auditor's firm <u>or external inspections</u>, determine the relevance of such information to, and effect on, the group audit. (Ref: Para. A57L<u>M</u>–A57N)	Regulatory Environment (Ref: Para. 37B(b)) A57L. Where independent oversight bodies have been established to oversee the auditing profession and monitor the quality of audits in the jurisdiction of a component auditor, <u>there may be</u> information <u>available</u> provided by the independent oversight bodies, including in relation to external inspections.⁷ <u>This information</u> may assist the group engagement team in evaluating the independence and competence of the component auditor. Information about the regulatory environment <u>and the component auditor</u> may also be obtained from the component auditor.
...	
Related Parties <u>[The Task Force will discuss the placement of this section]</u>	

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41B. In applying ISA 550 (Revised),¹³ the group engagement team shall: (a) Communicate<u>Discuss</u> with component auditors related party relationships or transactions identified by group management, and any other related parties of which the group engagement team is aware, that is relevant to the financial information of the component; and- (b) Request the component auditor to communicate on a timely basis related parties not previously identified by group management or the group engagement team; and. (c) Determine whether to identify related parties not previously identified by group management or the group engagement team to other component auditors.	<u>A61A. The nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties.¹⁴ In a group audit there may be a higher risks of material misstatement of the financial statements associated with related party relationships when:</u> <u>• The group structure is complex;</u> <u>• The group's information systems are not integrated and therefore less effective in identifying and recording related party relationships and transactions.</u> <u>Planning and performing the audit with professional skepticism as required by ISA 200,¹⁵ is therefore particularly important when these circumstances exists.</u>
Going Concern [The Task Force will discuss the placement of this section]	
41C. In applying ISA 570 (Revised),¹⁶ the group engagement team shall: (a) Communicate<u>Discuss</u> with component auditors any events or conditions identified by group management, or the group engagement team, <u>that may cast significant doubt on the component's ability to</u>	

¹³ ISA 550, *Related Parties*

¹⁴ ISA 550, paragraph 2

¹⁵ ISA 200, paragraphs A53–A54

¹⁶ ISA 570 (Revised), *Going Concern*

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continue as a going concern that may be relevant to the financial information of the component; and (b) Request that component auditors communicate any events or conditions relating to the component that may be relevant to the group management's assessment of the group's ability to continue as a going concern; and. (c) Remain alert throughout the audit for audit evidence of events or conditions that may cast significant doubt on the group's ability to continue as a going concern, including where component auditors have obtained audit evidence behalf of the group engagement team.	
Subsequent Events [The Task Force will discuss the placement of this section]	
41D. In applying ISA 560,¹⁷ the group engagement team <u>shall take responsibility for</u> shall performing procedures designed to identify events that may require adjustment to or disclosure in the group financial statements, including, as applicable, events that occur between the dates of the financial information of the components and the date of the auditor's report on the group financial statements. (Ref: Para. A61A-A61B) [Previously paragraph 38]	Subsequent Events (Ref: Para. 41D) A61A. The group engagement team may request a component auditor to perform subsequent events procedures to assist the group engagement team to identify events that occur between the dates of the financial information of the components and the date of the auditor's report on the group financial statements. A61B. When component auditors perform subsequent events procedures, Ithe group engagement team may consider <u>whether</u> it necessary and appropriate to perform <u>(or request the component auditor to perform)</u> procedures to cover the period between the date of communication of subsequent events by the component auditor and the date of the auditor's report on the group financial statements.

¹⁷ ISA 560, *Subsequent Events*, paragraph 7

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41E. The group engagement team shall request the component auditors to notify the group engagement team if they become aware of subsequent events that may require an adjustment to or disclosure in the group financial statements. [Previously paragraph 39]	
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